

Fearnleys Dry Bulk Weekly

Jul 29, 2026

Capesize/Newcastlemax

Both the laden/ballast ratio and the South Atlantic tightness indicator suggest the market is in a bottoming phase. Often this is followed by a rally, but sideways seems more likely the best case over the next few weeks. The reason is that steel mill profitability in China has decreased sharply in the last few weeks, with hot metal output likely to follow suit.

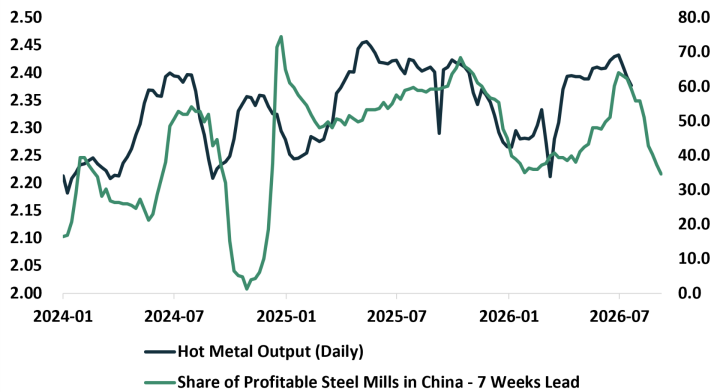
Top left chart: Clear suggestion by the falling share of profitable steel mills that hot metal output will fall sharply through next month.

Top right chart: The iron ore futures curve spread reflects underlying fundamental conditions. The average cycle duration has been slightly over two years over the displayed period. The previous cycle bottom was in early 2025, implying Q2 2027 could be the next bottom.

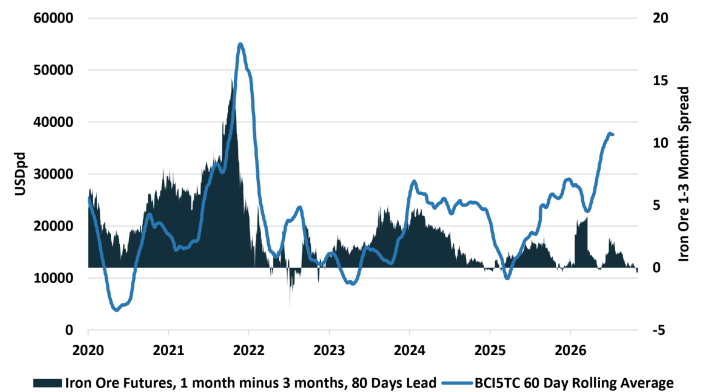
Bottom left chart: The SATI is now below the longer-term average, suggesting the market is in a bottoming phase.

Bottom right chart: The laden/ballast ratio is at comparable levels to Q1, suggesting the market is in a bottoming phase.

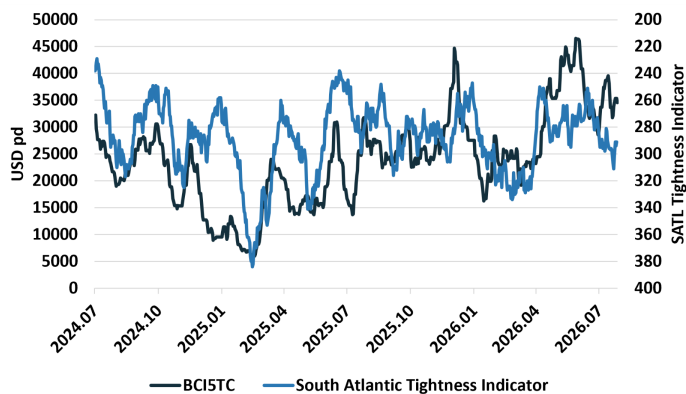
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



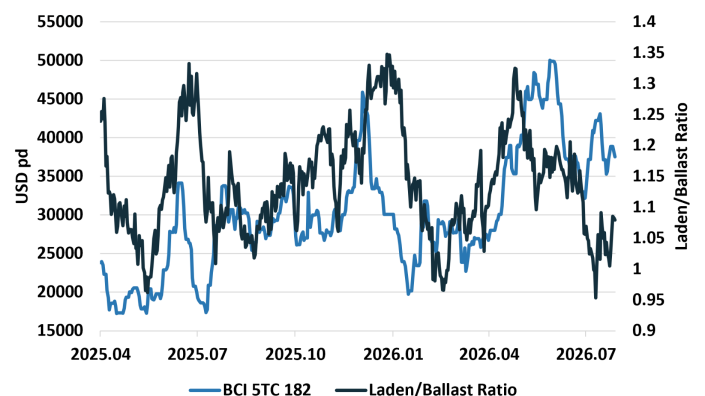
Iron Ore 1st - 3rd Month Spread vs BCI180



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

Based on the near-term indicators below, the market looks most likely to stabilise around current levels, then rebound/rally through August. However, in August last year P5TC averaged a bit over 15kpd, and considering that volume growth has now dropped to the same rate as supply growth, there is downside risk going forward.

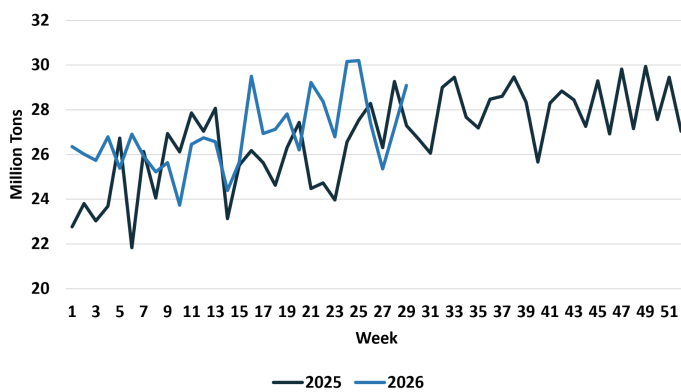
Top left chart: Shipment volumes were up 4.1% year on year through week 30. Supply growth was 4.1% at the latest reading.

Top right chart: The 2 months lead of the coal futures curve suggest the market will rise in August, then fall in September.

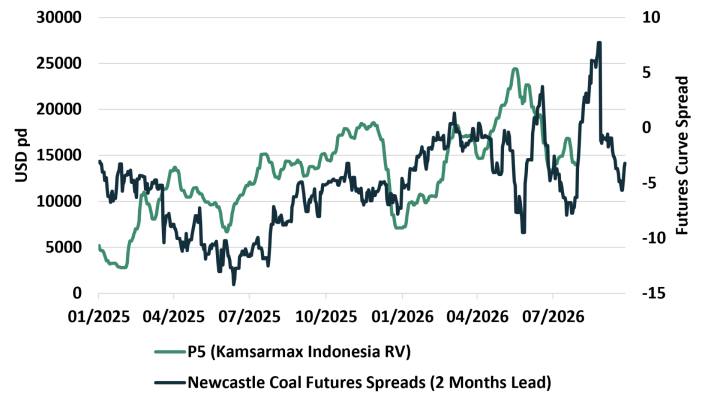
Bottom left chart: The Pacific tightness indicator suggests the market will rise through August.

Bottom right chart: The SATL tightness indicator suggests P6 will rise through August.

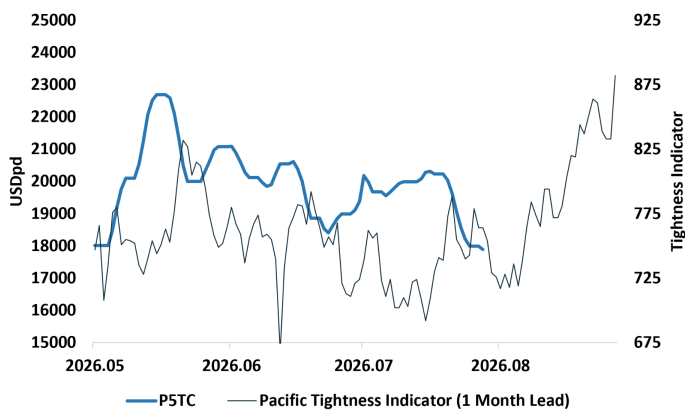
Weekly Shipment Volumes



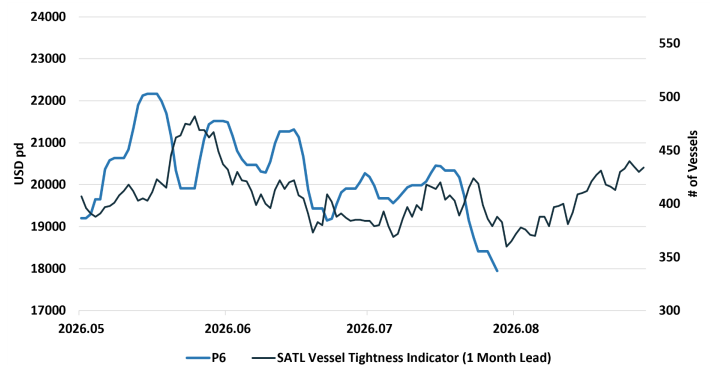
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The ballast/laden ratio has made a notable increase, the Ultramax spread over Handy7TC rose to the highest level since May 2024 (the market peak of that year), and shipment volume growth has dropped below supply growth. The outlook has turned more bearish.

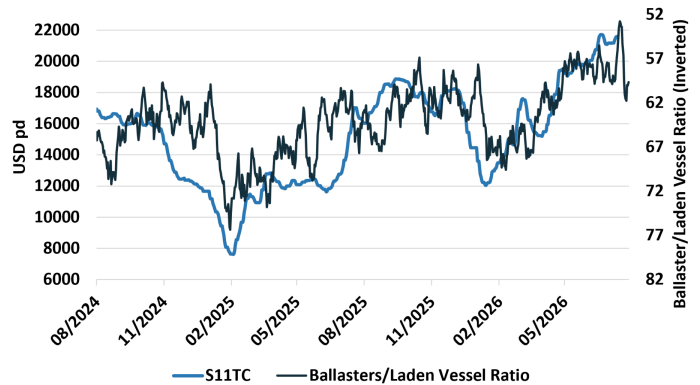
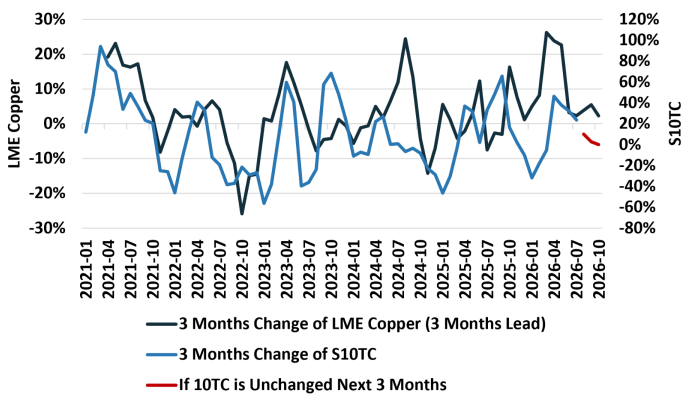
Top left chart: We added a curve to this chart showing how the 3-month change in the Supramax 10TC index would look if the market remains flat over the next three months. The 3-month change in the copper price suggests the market could rise slightly, or remain stable around current levels.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

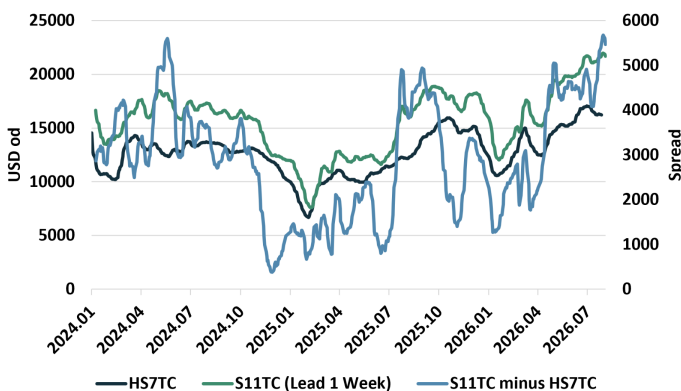
Bottom left chart: S11TC, HS7TC, and the spread between those indices. A high spread can indicate the market is peaking (and vice versa).

Bottom right chart: Through week 29, shipment volumes were up 4.8% year on year, compared to supply growth of 5.1%. Fundamentals remain positive as congestion and sailing distances are higher than last year.

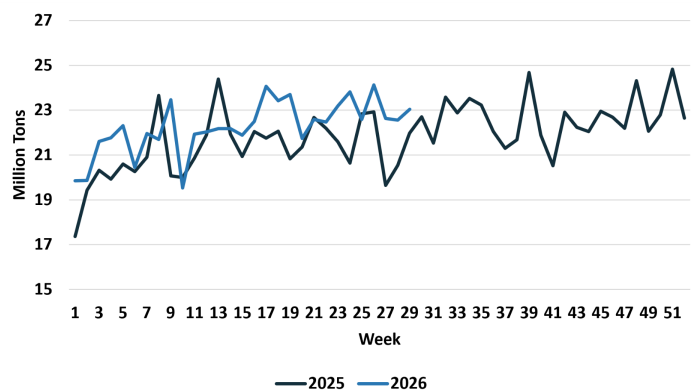
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Ultramax Spread over Handysize



Weekly Shipment Volumes



Handysize

Hardly any upward reaction in this segment to the upward push seen for Supras/Ultras in the first weeks of July, which is uncommon and is a sign that fundamentals have weakened. The last time this happened was in late April/early May 2024, with the market peak of that year being in March.

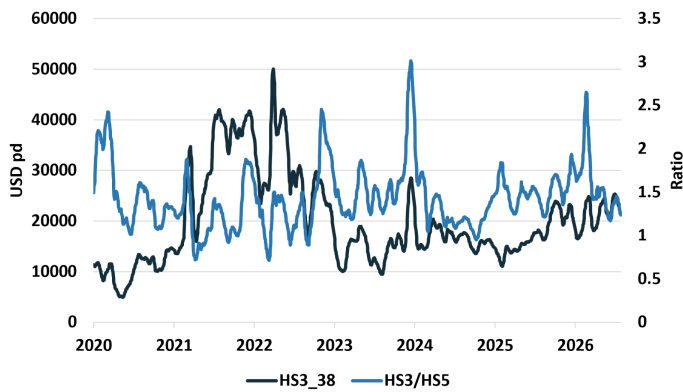
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 29, Handysize shipment volumes were 4.0% higher year on year, rising from under 3% seen about a month and a half ago. Supply growth is 2.8%.

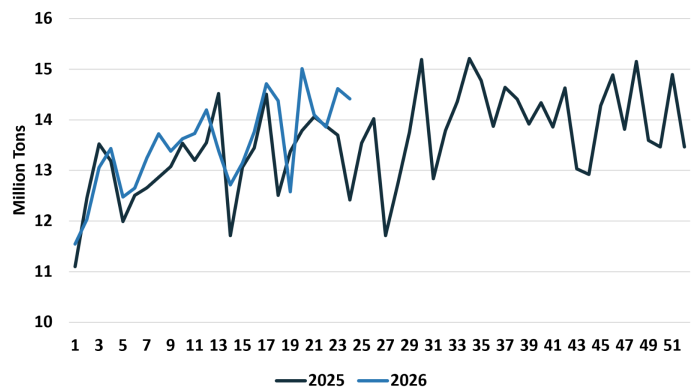
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

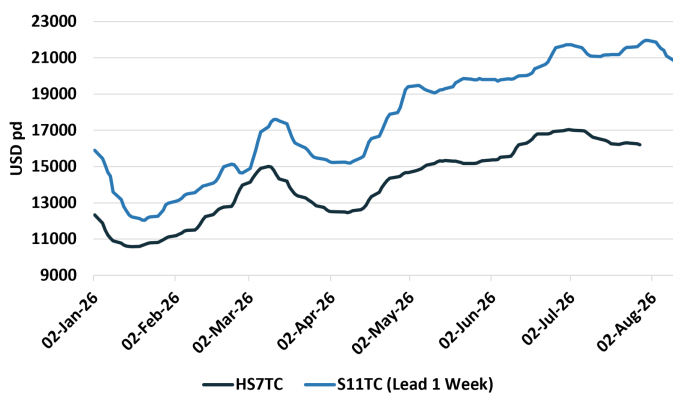
HS3 vs Ratio of HS3 and HS5



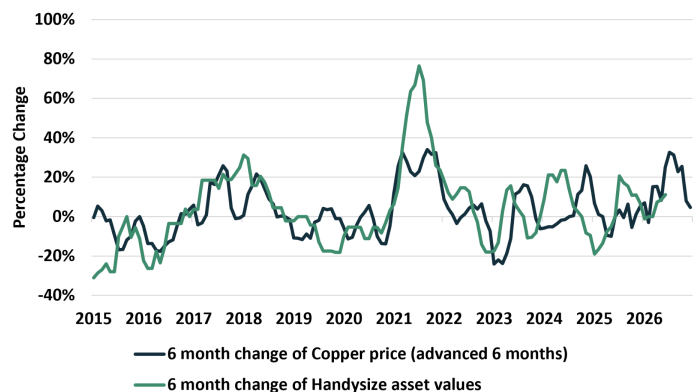
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change





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